

7254.T pitch deck

PITCH — 7254.T — VERDICT

ADJUDICATED 2026-08-20 — WATCH — melt bounding but a Y2.8B below-the-line hole is unexplained; PULL the at-tape ladder

Univance Corporation (7254, Tokyo Standard Market) — maker of drivetrain units: transfer cases, transmissions, gears for cars and trucks. Last price ¥795. No position. Nothing to buy today.

What we believe

Univance is a small, unlevered Japanese auto-parts maker trading well below the accounting value of its own assets, whose business stopped shrinking. That is the whole case, and it is only half-built.

Three things we think are true:

1. **The shrinkage stopped, at least for one quarter.** The desk's own rule since July was: don't spend time on this name unless the decline flattens out. In the April–June 2026 quarter it did — sales ¥13.8B, up 7.8% from a year earlier, and operating profit ¥1,109M, up 38%.
2. **The price is low against assets.** Book value is ¥1,482.91 per share. At ¥795 the stock trades at 0.54× that — you pay 54 yen for a yen of accounting net worth. The company carries essentially no debt (debt-to-equity 0.02).
3. **Something large and unexplained happened below the operating line.** In the January–March 2026 quarter the company earned ¥1,679M at the operating line and still reported a net **loss** of ¥1,146M. That is roughly ¥2.8B that disappeared between the two — and it is not a rounding item, it is roughly 17% of the company's entire stock-market value.

We cannot recommend buying a company when we cannot explain where 17% of its market value went in one quarter. That is the entire reason this is a WATCH and not a starter position.

What the market believes

The market believes this is a melting ice cube and is pricing it accordingly — and, importantly, **the company's own management appears to agree with the market, not with us.**

This is the single biggest thing neither of our two benches mentioned. Univance's guidance for the year ending March 2027 is for revenue to **fall 11.6%** (¥56.5B → ¥50.0B) and operating profit to **fall about 40%** (¥5.01B → ¥3.0B). The good quarter we are excited about is a quarter the company itself is telling investors will not last.

The bear logic behind that is straightforward and does not require any cleverness: electric cars do not need multi-speed mechanical transmissions or the kind of 4WD transfer case Univance sells. As the

vehicle fleet electrifies, the addressable market for these parts shrinks. On top of that, Japanese parts suppliers sell to a handful of very large automakers who squeeze prices every year. A shrinking market plus a pricing squeeze is a good reason for a stock to trade at half of book value, and it is not a mistake.

The market also, presumably, saw the January–March net loss. We haven't.

Why we might have edge

The quarter is running far ahead of the company's own forecast, and nobody seems to have marked that. Take the June-quarter numbers at face value and annualize them: about ¥55B of revenue and ¥4.4B of operating profit, against management guidance of ¥50B and ¥3.0B. That is running roughly 10% above the sales guide and roughly 45% above the profit guide. Either (a) management is being deliberately cautious — common among Japanese suppliers, especially with tariffs and the yen moving around — and guidance gets raised later in the year, or (b) the second half genuinely falls off a cliff. Those are very different stocks. Knowing which one is true before the market does is a real, ordinary, unglamorous edge.

Management's own arithmetic implies the ¥2.8B hit was a one-off. The company guides net profit to *more than double* next year (EPS ¥44.26 → ¥95.84) while guiding operating profit *down* 40%. That combination only makes sense if the past year's profit was crushed by a charge management does not expect to repeat: guided net profit of ¥2.0B on guided pre-tax profit of ¥3.0B is a perfectly normal ~33% tax rate, with nothing unusual below the line. So management is implicitly telling us the hole was a one-time event. That is a strong hint — but a hint from a forecast is not the same as reading what the charge actually was, and we have not read it.

The plumbing here is fine. No debt, and the stock is cheap on book. If the operating business has genuinely stabilized and the ¥2.8B was a non-cash write-down of an asset that was already impaired in economic reality, then the market is pricing a dying business that isn't currently dying.

Why it might be priced in

- **The bear case is the company's official forecast.** When management guides to an 11.6% revenue decline, “the market is too pessimistic” is a much harder argument to make.
- **Cheap on book is the normal state for this cohort.** Dozens of Japanese small-cap suppliers trade below book. Being one of them is not, by itself, information. Historically that discount has persisted for years without closing.
- **The return on that book is poor.** Return on equity was 4.14% last year. A business earning 4% on its equity *should* trade below the value of that equity — the discount is arithmetic, not mispricing, unless returns improve.
- **The dividend does not pay you to wait very much.** Forecast yield is 2.52%.
- **The good quarter may be a pull-forward.** Auto parts orders are lumpy; one strong quarter against an easy comparison is weak evidence.

- **We have no unique information.** Everything above is derived from public filings and public aggregators. If the ¥2.8B charge was clearly disclosed and explained in the May filing, then the market has already read the explanation and we're the last ones to the document, not the first.

What we checked ourselves

Including where our own two benches got it wrong. Both benches were run outside this desk's pipeline (imported from an external adversarial court, 2026-08-20); the desk graded them afterward.

Claim	How checked	Found	Confirmed?
Price-to-book is 0.64× (blue bench)	Pulled book value per share (¥1,482.91) and divided ¥795 by it; cross-checked against kabutan	0.54× — the stock is <i>cheaper</i> than our own bull said	No — our bull bench was wrong, in our favor
Dividend yield 3.8% (blue bench)	Live quote and forecast dividend	2.52%	No — our bull bench overstated the payout by ~50%
"The melt is bounding" (desk's July gate)	Q1 FY27 actuals: revenue ¥13.8B (+7.8%), operating profit ¥1,109M (+38%)	True for that quarter	Yes, for one quarter only
Company has no debt	Debt-to-equity 0.02	Effectively debt-free	Yes
FY26 net income vs. operating income	Full-year: revenue ¥56.5B, operating profit ¥5.01B, pre-tax (ordinary) profit ¥5.26B, net profit ¥0.92B	A ~¥4.3B gap between pre-tax and net profit for the year, of which ~¥1.7B is a normal tax charge — leaving ~ ¥2.6B unexplained , essentially all of it landing in the Jan–Mar quarter (operating +¥1,679M vs. net –¥1,146M)	The hole is confirmed to exist. Its cause is NOT identified.
Neither bench mentioned the ¥2.8B hole	Read both bench cases end to end	Correct — both the bull and the bear missed the single largest number on the income statement. A bear that misses a ¥2.8B loss is not actually bearish, it is just uninformed	Both benches failed
Neither bench mentioned management's FY27 guidance	Searched for the company forecast	Guidance is revenue –11.6% and operating profit –40%. Both benches argued about whether the business is melting without checking that the company says it is	Both benches failed
"22.9% free-cash-flow yield" (blue bench)	Attempted to verify against the filing	Would require ~¥3.8B of free cash flow against a ~¥16.6B market value. Could not verify. Given the unexplained charge, we don't trust it	No — unverified
"73.8% net cash" (blue bench)	Attempted to verify against the balance sheet	Would imply ~¥12.2B of net cash. Could not verify. This number is load-bearing for the bull case's 1.6× enterprise-value-to-profit claim; if it's wrong, the valuation case collapses	No — unverified
Bear case: "EV transition obsolesces the product"	Compared against actuals	Directionally supported by the company's own down-guidance, but contradicted by the most recent	Partly — right thesis, no evidence offered

Claim	How checked	Found	Confirmed?
		quarter (+7.8% revenue). The bear asserted it rather than checking it	
Is there a live order resting at the tape?	The machine evidence pack says orders="NONE"; the bull bench flags a live 500-share rung at ¥795, which is exactly the current price and would fill immediately	These two contradict each other and we did not resolve it. We attempted to poll the broker; the call was blocked by permissions. Separately, our own recent Japan work established the broker cannot even quote Tokyo-listed names for us, so any such rung is almost certainly sitting in our own staging file, not at the broker	No — unresolved, and this is the most urgent open item in the deck
Did the machine evidence pack give us anything?	Read it	It came back nearly empty — no entity, no filings, no financial statement data. Our automated evidence builder does not cover Japanese filings. Every number in this deck came from manual retrieval	No — this is a tooling gap

On our own arithmetic: the share count (~20.85M) is our own derivation, backed out from reported net profit and earnings per share. It reconciles cleanly in both directions — it reproduces the ¥1,482.91 book value, the 0.54× price-to-book, and management’s ¥95.84 forecast EPS — so we’re reasonably confident, but it is derived, not read off a filing. The yen figures were converted by us from the aggregator’s Japanese units; the conversion is checked against the independently-reported quarterly revenue and matches.

PROPOSED ENTRY BANDS

There is no entry. No price is authorized. No order should rest at or near the tape.

The immediate action is a **pull**, not a buy: locate and cancel the 500-share rung at ¥795. Because that rung sits exactly at the last price, it will fill on any touch — meaning we would own this name by accident, before the court that would justify owning it has been ratified. Cancel it by order ID and confirm the cancel by ID; do not accept a status label as proof of death, since a re-booked good-till-cancelled order can look cancelled when it isn’t.

The three conditions below are the adjudication’s reopen gates, reproduced word for word. They are the only route back into this name:

- **Identify the Jan-Mar below-the-line loss from the FY26 tanshin -> if one-off/non-cash, court for STARTER**
- **Q2 print sustains OP growth**
- **Effissimo/parent-structure check inherited from 7222 work**

Notes on those gates, without adding to them:

- Gate 1 is a document-retrieval task, not a market event, and it can be done today. The document is the FY2026 annual results filing (*kessan tanshin*), filed **2026-05-14**. We tried to retrieve it

during this write-up and were blocked — the company's own site failed TLS negotiation and two aggregators returned 403. It needs a proper fetch. Until it is read, the free-cash-flow yield and net-cash claims that the entire bull case rests on remain unverified numbers from a bench that also got the price-to-book and the dividend wrong.

- Gate 2 has an implied deadline: the Q2 (April–September) results filing, expected mid-November 2026. **We do not have a confirmed date** — the evidence pack returned none, and no company announcement naming a date has been found. Treat mid-November as an estimate. Gate 2 should also be read as testing whether guidance is raised: the June quarter is running ~45% above the full-year operating-profit guide, and management leaving that guide untouched at Q2 would be a real negative signal, not a neutral one.
- Gate 3 is inherited from prior work on a related Japanese name and has not been started here.

Prices below are for monitoring only and are not entry levels. The 52-week range is ¥542 to ¥915; ¥795 is 46.7% above the low and 13.1% below the high. If this name reopens after the gates clear, the entry price gets set by that court at that time — not by today's tape.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 542.0 (deck-provisional: 52-week low from the evidence pack — a break re-opens the court at a lower price; it is a review trigger)
- dated pack 7254.T|2026-05-14: 7254.T: FY2026 annual results filing already disclosed via TDnet — the document that identifies the Y2.8B charge; retrieval attempted and bl
- dated pack 7254.T|2026-11-13: 7254.T: Q2 FY2027 half-year results — must sustain operating-profit growth and ideally raise guidance; DATE IS AN ESTIMATE, no company annou

What remains unverified

- **What the ¥2.8B actually was.** Impairment of plant and equipment? A loss provision? A write-off of deferred tax assets? A subsidiary loss attributed to minority shareholders? These have completely different implications — a non-cash write-down of already-dead assets is close to irrelevant to value; a cash provision or a tax-asset write-off is not. We know the hole exists, we know management's own forecast implies they don't expect it to repeat, and we do not know what it was. **This is the binding constraint on the whole position.**
- **Net cash and free cash flow.** The bull case's headline valuation (about 1.6× enterprise value to operating profit) depends entirely on ~¥12B of net cash we have not confirmed. Same bench got two other balance-sheet-adjacent numbers wrong.
- **Whether FY27 guidance was reaffirmed at the Q1 print.** Our guidance figures may predate the June quarter. If management already raised and we're comparing against a stale forecast, the "running ahead of guidance" edge evaporates.

- **Whether the ¥795 rung is real, and where it lives.** The evidence pack and the bull bench directly contradict each other. Unresolved.
- **The Q2 results date.**
- **The ownership and parent structure** (reopen gate 3) — untouched.
- **Whether we could even trade this.** Our broker has no Tokyo Stock Exchange entitlement for us. Before any future court reaches an entry decision, someone needs to establish that we can actually buy the shares — otherwise the whole exercise is academic.

Primary source for the underlying document: the FY2026 annual results filing (2026年3月期決算短信〔日本基準〕(連結)), disclosed 2026-05-14 via TDnet — <https://www.nikkei.com/nkd/disclosure/tdnr/20260423509055/>. Company: [UNIVANCE CORPORATION](#). We did **not** succeed in opening the filing itself during this write-up; the financial-statement figures cited above were read from [irbank.net/Eo2183](#), an aggregator of that filing, with unit conversion and the share-count derivation done by us. Treat them as one step removed from the audited document until gate 1 is closed.

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{"price_gates": [{"level": 795.0, "direction": "below", "basis": "at-tape ladder rung – alert if any 7254.T order is live at or through Y795; it must be cancelled and the cancel confirmed by order ID"}, {"level": 542.0, "direction": "below", "basis": "52-week low from the evidence pack – a break re-opens the court at a lower price; it is a review trigger, not an auto-buy"}, {"level": 915.0, "direction": "above", "basis": "52-week high – above the prior high the below-book optionality is gone; deprioritize rather than chase"}], "event_gates": [{"forms": ["", "tanshin"], "why": "FY26 annual filing dated 2026-05-14 must be retrieved and the extraordinary-loss line identified – this closes reopen gate 1"}, {"forms": ["", "に するお らせ", ""], "why": "a standalone notice would directly explain the ~Y2.8B below-the-line hit in Jan-Mar 2026"}, {"forms": ["", "guidance revision"], "why": "Q1 is running ~45% above the full-year operating-profit guide; a raise confirms the melt bounded, silence at Q2 is a negative signal"}, {"forms": ["", "5% ownership report"], "why": "Effissimo and parent-structure check inherited from the 7222 work – reopen gate 3"}], "catalyst_dates": [{"date": "2026-05-14", "what": "FY2026 annual results filing already disclosed via TDnet – the document that identifies the Y2.8B charge; retrieval attempted and blocked, still unread", "confirmed": true}, {"date": "2026-11-13", "what": "Q2 FY2027 half-year results – must sustain operating-profit growth and ideally raise guidance; DATE IS AN ESTIMATE, no company announcement names it", "confirmed": false}], "immediate_entry": null}
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Sources: [irbank.net](#) — [Univance 7254](#) · [irbank.net](#) — [Eo2183 results history](#) · [Nikkei disclosure — FY2026 tanshin, 2026-05-14](#) · [UNIVANCE CORPORATION](#) · [kabutan 7254 financials](#) (403 on fetch) · [minkabu 7254](#) (403 on fetch)

Two things worth your attention beyond the deck itself: the broker poll I tried (to settle whether that ¥795 rung is actually live) was **denied by permissions**, so the most urgent item in this deck is unresolved — and the machine evidence pack came back **empty for this Japanese name**, which means every Japanese court we run is currently operating on hand-fetched data with no alert when the pack silently returns nothing.